Chapter one

1. Nature of Entrepreneurship

1.1 Introduction
1.2 Historical origin of Entrepreneurship

- What is **entrepreneurship**? And who is an **entrepreneur**? These two questions are asked more frequently reflecting the increasing demand in the field of entrepreneurship.
- Here let us took in to the historical development of entrepreneurship so as to grasp the meaning of the word entrepreneurship.
- During the **ancient period** the word entrepreneur was used to refer to **a person managing large commercial projects** through the resources provided to him.
- In the **17th Century** a person who has **signed a contractual agreement with the government** to provide stipulated/specified products or to perform service was considered as **entrepreneur.**

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- In the 18th Century the first theory of entrepreneur has been developed by **Richard Cantillon.**

  He said that an entrepreneur is a **risk taker**. If we consider the **merchant**, farmers and /or the professionals they all operate at risk. E.g for **merchant** buying with known price and selling unknown price.

- In the late 19th and early 20th Century an entrepreneur was viewed from economic perspectives. The entrepreneur organizes and operates an enterprise for **personal gain**. In the middle of the 20th Century the notion/concept of an entrepreneur as an inventor as established.

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- "The function of the entrepreneur is to **reform or revolutionize** the pattern of production by exploiting an **invention** or more generally **untried technological possibility for** producing new commodities or producing an old one in a new way or opening a new outlet for products by reorganizing a new industry**.**"
- Entrepreneur was evolved from **managing commercial project** to **the application of innovation (creativity)** in the business idea.

1.3 Definitions of Entrepreneurship & Entrepreneur

- A number of concepts have been derived from the idea of the **entrepreneur** such as **entrepreneurial**, **entrepreneurship** and **entrepreneurial process**.
- The idea that the **entrepreneur** is some one who **undertakes certain projects** offers an opening to developing an understanding of the nature of entrepreneurship.
- Undertaking particular projects demands that particular tasks be engaged in with the objective of achieving **specific outcomes** and that an individual take charge of the project.

Entrepreneurship is then what the entrepreneur does.

Entrepreneurial is an adjective describing **how the entrepreneur undertakes** what he or she does.

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- The **entrepreneurial process** in which the entrepreneur engages is the means through which **new value is created** as a result of the project: Entrepreneurship is the art of identifying **viable business opportunities** and mobilizing resources to convert those opportunities into a successful enterprise through **creativity, innovation, risk taking and progressive imagination** by using factors of production, **capital, labor, and land** as also intangible factors such as the ability to mobilize **scientific and technological advances**.
- The **dynamic process of creating incremental wealth** by bringing together resources in new ways to start and operate an enterprise **(Robert Ronsadt).**

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- Entrepreneurship generally is a **process**
- Above all, entrepreneurship today is the product of **team work** and the ability to create, build and work as a team. Engaging in entrepreneurship shifts people from being **"job seekers"** to **"job creators",** which is critical in countries that have high levels of unemployment.

➢ In general, the process of entrepreneurship includes **five** critical elements. These are:

- The **ability to perceive an opportunity.**
- The ability to **commercialize** the perceived opportunity i.e. **innovation**
- The ability to **pursue it on a sustainable** basis.
- The ability to pursue it through **systematic means**.
- The **acceptance of risk or failure**.

Definitions of Entrepreneur

- ✓ An entrepreneur is any **person** who:
- creates and develops a business idea and takes risk.
- The ability to gather the necessary resources, to take advantage of opportunities
- takes the risk of setting up an enterprise to produce a product or service which satisfies customer needs.
- create the job not a job-seeker;
- has a dream,
- has a vision;
- willing to take the risk and makes something out of nothing

Peter Drucker describes an entrepreneur as "someone who always **searches for change**, **responds to it**, and **exploits it as an opportunity.**"

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Other definition, views the term entrepreneur from **three** perspectives; i.e. from **the economist, psychologist** and **capitalist philosopher's** point of view.

- To an **economist** an entrepreneur is one who **brings resource, labor, materials, and other assets** into combination that **makes their value greater** than before and also one who introduces changes innovations.
- To a **psychologist** an entrepreneur is a person typically **driven by certain forces** need to obtain or attain something, to experiment, to accomplish or perhaps to escape the authority of others.
- For the **capitalist philosopher** an entrepreneur is one who **creates wealth for others as well**, who finds better way to utilize resources and reduce waste and who produce job others are glad to get.

1.4 Types of Entrepreneurs

1. **The individual entrepreneur:** An individual entrepreneur is someone who started; acquired or franchised his/her own independent organization.
2. **Intrapreneur:** An Intrapreneur is a person who does entrepreneurial work within large organization.

- The main difference between an Entrepreneur and an Intrapreneur is that **an Intrapreneur is an employee**, and an Entrepreneur is the founder who designs, launches, and manages a new business, which almost always starts out as a small business.

3. The Entrepreneurial Organization

- The entrepreneurial function need not be embodied in a physical person.
- Every social environment has its own way of filling the entrepreneurial function.

1.5 Role of Entrepreneurs in Economic Development

- Entrepreneurial development is the most important input in the economic development of any country.

✓ Improvement in per capital Income/Wealth Generation

✓ Generation of Employment Opportunities

✓ Inspire others Towards Entrepreneurship

✓ Balanced Regional Development

✓ Enhance the Number of Enterprise

✓ Economic Independence

✓ ………etc

1.6 Entrepreneurial Competencies

- ✓ **entrepreneurial mindset (who become an entrepreneur; qualities of successful entrepreneurs and entrepreneurial skills)**

Who Becomes an Entrepreneur

- ✓ Anyone with the following **characteristics** can be an entrepreneur.
- ➢ **The Young Professional:** skipping the experience of working for an established organization and moving directly to work on establishing their own ventures.
- ➢ **The Inventor:** The inventor is someone who has developed an innovation and who has decided to make a career out of presenting that innovation to the market. It my be new tech. or traditional tech.
- ➢ **The Excluded:** Some people turn to an entrepreneurial career because nothing is open to them.

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Qualities of an Entrepreneur/ competencies

- **Initiative**
- Opportunity-seeking
- Persevering/non tired/continuing in a course of action despite difficulty or delay in achieving success/
- Demanding for efficiency and quality/motivator for employees/
- Information-seeking
- Commitment to work contract
- Planning
- Persuasion and networking
- Building self-confidence
- Listening to others/not be arrogance
- Demonstrating leadership

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Qualities / competencies of an Entrepreneur/

- **Initiative** – taking action beyond job requirements or the demand for the situation. Doing things before being asked or forced by the events.
- **Opportunity-seeking:** An opportunity is a favorable set of circumstances that creates a need for a new product, service or business. It includes access to credit, working premises/ land, financing equipment, workspace /, education, trainings etc.
- **Persevering/Persistence:** takes repeated action to overcome obstacle. Eg If I make up my mind to do something, I don't let anything stop me.
- **Demanding for efficiency and quality :**

Efficiency: Being efficient means producing results with little wasted effort.

Quality refers to:

goods/services to meet the customer's need in a way that exceeds the customer's expectations;

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-characteristic of the product fit to use

-The ability of a product or service to meet a customer's expectations

- **Information-seeking:** Successful entrepreneurs do not rely on guess work and do not rely on others for information.
- **Commitment to work contract**- place the highest priority on getting a job completed.
- **Planning:** Planning is making a decision about the future in terms of what to do, when to do, where to do, how to do, by whom to do and using what resources.
- **Persuasion** – Successfully persuade others. Convince someone to buy a product or service. E.g I team up well with others for tasks which I cannot accomplish on my own.

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- **Building Self-confidence:** Self-confidence is the state of being certain that a chosen course of action is the best or most effective given the circumstances.

-Risk-taking

-Independent

-Perseverance

-Ability to find happiness and contentment in work.

-Doing what you believe to be right, even if others mock or criticize you for it.

-Admitting mistakes and learning from them

E.g I am happy with my work and am confident that I will make progress and improvement in the future.

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Entrepreneurial Skills

- A skill is simply knowledge which is demonstrated by action.
- **General management skills and**
- **People management skills**

1. **General management skills** :These are skills required to organize the physical and financial resources needed to run the venture.

- *Strategy Skills*
- *Planning Skills*
- *Marketing Skills*
- *Financial Skills*
- *Project Management Skills*
- *Time Management Skills*

2. **People management skills.** An entrepreneurial venture also needs the support of people from outside the organization such as customers, suppliers and investors.

- *Communication Skills*
- *Leadership Skills*
- *Motivation Skills*
- *Delegation Skills*
- *Negotiation Skills*

THE ENTREPRENEURIAL TASKS

- A number of tasks have been associated with the entrepreneur. Some of the more important are:

- Owning Organizations
- Founding New Organizations
- Bringing Innovations to Market
- Identification of Market Opportunity
- Application of Expertise
- Provision of leadership
- The entrepreneur as manager

Wealth & Benefits of the Entrepreneur

- Wealth is money and anything that money can buy. It includes money, knowledge and assets of the entrepreneur.

- No entrepreneur works in a vacuum. The venture they create touches the lives of many other people.
- Peoples who have a part to play in the entrepreneurial venture generally are called **stakeholder.**
- The stakeholder groups/beneficiaries are; employees, investor, supplier, customer, the local community and government.

ENTREPRENEURSHIP AND ENVIRONMENT

- Business environment refers to the factors external to a business enterprise which influence its operations and determine its effectiveness.

➢ A study of business environment offers the following benefits:

1) It provides information for successful operation of business firms.
2) It opens up fresh avenues/street for the expansion of new entrepreneurial operations.
3) Knowledge about changing environment enables businessmen to adopt a dynamic approach and maintain harmony of business operations with the environment.
4) By studying the environment entrepreneurs can make it hospitable to the growth of business and thereby earn popular support.

Phases of Business Environment

- Business environment may be classified into two broad categories; namely external; and internal environment

A) External Environment

- It is the environment which is external to the business and hardly to influence independently. The following are the components of external environment:

-Economic Environment:- Economic environment is of multidimensional nature. It consists of the structure of the economy, the industrial, agricultural, trade and transport policies of the country, the growth and pattern of national income and its distribution, the conditions prevailing in industrial, agricultural and other sectors, the position relating to balance of trade and balance of payments, and other miscellaneous conditions of the economy

- **Legal Environment:-**Business must function within the framework of legal structure.

✓ Therefore, an adequate knowledge of laws and rules is necessary for efficient managerial performance.

✓ Some laws differ from region to region and amendments are made from time to time. Therefore, the entrepreneur must always keep in touch with those who know the latest position in law.

- **Political Environment;-** In a democratic country, politics cannot be ignored. Managers and entrepreneurs should understand the working of the political system Businessmen should, therefore, learn to take public opinion into account in the decision-making process.
- **Socio-Cultural Environment:-** It consist the social and cultural norms of a society in a given period of time. The variables that are appraised are values, beliefs, norms, fashions and fads of a particular society.

Demographic Environment:- It assesses the overall population pattern of a given geographical region. It includes variables like age profile, distribution, sex, education profile, income distribution etc.

B) Internal Environment

- Internal environment is the environment which is under the control of a given organization.
- Following are the components of internal environment of a business

✓ **Raw Material**

✓ **Production/Operation**

✓ **Finance**

✓ **Human Resource**

Environmental Factors Affecting Entrepreneurship

- The interaction between the entrepreneur and his environment is an ongoing process.
- At any given point of time, the entrepreneurs derive meanings from the environment prevailing at that time and try to adapt and/or change the environment to suit their needs.

❑ Some of the environmental factors which hinder entrepreneurial growth are given below:

☞Sudden changes in Government policy.

☞Sudden political upsurge/increase.

☞Outbreak of war or regional conflicts.

- ☞ Political instability or hostile Government attitude towards industry.
- ☞ Ideological and social conflicts.
- ☞ Unreliable supply of power, materials, finance, labor and other inputs.
- ☞ Rise in the cost of inputs.
- ☞ Unfavorable market fluctuations.
- ☞ Non-cooperative attitude of banks and financial institutions.

1.7 Creativity, Innovation and Entrepreneurship

- **Creativity is thinking new things, and innovation is doing new things** what is entrepreneurship is creating value in the market place.
- **Entrepreneurship** is the applying of creativity and innovation to solve problems and to exploit opportunities that people face every day.
- **Innovation** is not just creation of new ideas/thoughts, but it is also about translating them into products/service.
- **Innovation** is the successful exploitation of new ideas incorporating new technology, design and best practices. **Innovation is** the process of conceptualizing an idea and transforming that idea into product/service.

Steps in the Creative Process

1. **Opportunity or problem Recognition:** A person discovers that a new opportunity exists or a problem needs resolution.
2. **Immersion:** the individual concentrates on the problem and becomes immersed in it. He or she will recall and collect information that seems relevant, dreaming up alternatives without refining or evaluating them.
3. **Incubation**: the person keeps the assembled information in mind for a while.
4. **Insight**: the problem-conquering solution flashes into the person's mind at an unexpected time, such as on the verge of sleep, during a shower, or while running. Insight is also called the Aha! Experience.
5. **Verification and Application**

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types of innovation, these are as follows:

- **Invention** - described as the creation of a new product, service or process
- **Extension** - the expansion of a product, service or process
- **Duplication** - defined as replication of an already existing product, service or process
- **Synthesis** - the combination of existing concepts and factors into a new formulation

THE INNOVATION PROCESS

- ☞**Analytical planning:** carefully identifying the product or service features, design as well as the resources that will be needed.
- ☞**Resources organization:** obtaining the required resources, materials, technology, human or capital resources
- ☞**Implementation:** applying the resources in order to accomplish the plans
- ☞**Commercial application:** the provision of values to customers, reward employees and satisfy the stakeholders.

MAJOR AREAS OF INNOVATION

- New product
- New service
- New production techniques
- New Way of Delivering the Product or Service to the Customer:
- New Operating Practices
- New Means of Informing the Customer about the Product:
- New Means of Managing Relationship within the Organization

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- Entrepreneurship = creativity + innovation.

END OF CHAPTER ONE

CHAPTER 2
BUSINESS PLANNING

Chapter Objectives

After completing this chapter, students will be able to:

- Identify opportunity in the environment,
- Evaluate the opportunities in the environment,
- Generate business idea,
- Explain the concept of business planning,
- Identify components of business plan,
- Develop business plan,

2.1 Opportunity Identification and Evaluation

- Most authors agree that the initial stage in the entrepreneurial process is the identification and refinement of a viable economic opportunity that exists in the market.
- Without the recognition of an opportunity the entrepreneurial process is likely to result in failure.
- The opportunity identification and evaluation stage can be divided into five main steps namely:
    1. Getting the idea/scanning the environment,
    2. Identifying the opportunity,
    3. Developing the opportunity,
    4. Evaluating the opportunity and
    5. Evaluating the team.

1. Scanning the Environment/ Getting the Idea

- Idea is a thought or suggestion about a possible course of action. Synonymous with "idea" are the terms thought, intention, scheme, suggestion, proposal, initiative, impulse, brainwave, insight, concept and connotation.
- Opportunity is a favorable time or set of circumstances for doing something. Synonymous with opportunity are chance, opening and prospect.

- A business opportunity is a gap left in a market by those who currently serve it.
- The difference between an idea and an opportunity is that an opportunity is the possibility of occupying the market with a specific innovative product that will satisfy a real need and for which customers are willing to pay but idea is all about opinion about anything we can have.

2. Opportunity Identification

- Opportunity identification is ability to see, to discover and exploit opportunities that others miss.
- It is the process of seeking out better ways of competing.
- It includes scanning the informational environment, being able to capture, recognize and make effective use of abstract, implicit and changing information from the changing external environments.

3. Opportunity Development

- Having recognized the opportunity, timely adaptation of that opportunity to suit actual market need is key to new venture success.
- Opportunity development is the process of combining resources to pursue a market opportunity identified.
- This involves systematic research to refine the idea to the most promising high potential opportunity that can be transformed into marketable items.

4. Opportunity Evaluation

- Opportunity screening and evaluation is a critical element of the entrepreneurial process.
- A professional executed evaluation can tell whether the specific product or service has the returns needed to justify the investment and the risk to be taken.
- it allows the entrepreneur to assess whether the specific product or service has the returns needed for the resources required.

This evaluation process involves looking at:

- the creation and length of the opportunity,
- its real and perceived value,
- its risks and returns,
- its fit with the personal skills and goals of the entrepreneur, and
- its differential advantage in its competitive environment.

5. Assessment of the Entrepreneurial Team

- Regardless of how right the opportunity may seem to be, it will not make a successful business unless it is developed by a team with strong skills.
- Gartner et al (1999:230) advices that once the opportunity has been evaluated, the next step is to ask pertinent questions about the people who would run the company.

2.2 Business Idea Development

A **business idea** is a short and precise description of the basic operation of an intended business. There are three types of business ideas. They are:

1. **Old Idea** – Here an individual copies an existing business idea from someone.
2. **Old Idea with Modification** – In this case the person accepts an old idea from someone and then modifies it in some way to fit a potential customer's demand.

3. **A New Idea** – This one involves the invention of something new for the first time

2.3 Business Idea Identification

- Before you start a business, you need to have a clear idea of the sort of business you want to run. Your business idea will tell you:
  - ☞ Which need will your business fulfill for the customers and what kind of customers will you attract?
  - ☞ What good or service will your business sell?
  - ☞ Who will your business sell to?
  - ☞ How is your business going to sell its goods or services?
  - ☞ How much will your business depend upon and impact the environment?

Relation between business and environment

Your business can only be sustainable in the long run if it works in harmony with the social and natural environment.

- How much does your business depend on the environment?
- Does it rely on the weather, soil or other natural resources?
- Does it need any specific type of labor from the local community?
- Does it need the local community to support it?
- What should you do to make sure that your business nurtures the natural environment and helps the local community?
- Will your business nurture the natural environment or will it have a detrimental impact?
- How would you minimize or reverse any negative effect that your business might have?

Methods of generating business ideas

a)Learn from successful business owners

b)Draw from experience

-your own experience

-other peoples experience

c)Survey your local business area

d)Scanning your environment

-natural resources

-characteristics and skills of people in the local community

-waste products

-import substitutions

-publications

-trade fairs and exhibitions

e)Brainstorming

- Brain storming is a technique for creative problem-solving as well as for generating ideas.
- The objective is to come up with as many ideas as possible.
- It is done between family, friends and classmates.

There are four rules for brainstorming:

1. Don’t criticize or judge the ideas of others
2. Freewheeling is encouraged-ideas that seem to be wild or crazy are welcome.
3. Quantity is desirable – the greater the number of ideas, the better the ideas.
4. Combine and improve upon the ideas of others.

f)Structured Brainstorming

- Provides certain rules that participants must follow in order to make the gathering of input more orderly and evenly distributed
- It encourages creative thinking between team members
- Structured brainstorming is when you think of the different processes that are involved in the operation of a particular business

  -those involved in the production

  -those involved in the selling process

  -those involved in re-cycling or re-using materials g)Focus group

- Focus group is a group of individuals providing information on a structured format which is led by moderators.
- It is characterized by an open and in depth discussion: rather than simply asking questions

h) Problem inventory analysis

- It is similar to focus group to generate new product ideas. The difference is rather than generating new idea themselves, consumers are provided with a list of problems in general product category.
- It is a method of obtaining “New Idea” and solutions by focusing on problems.

i)Free association

- Is one of the simplest methods that entrepreneurs use
- First, a word or phrase related to the problem is written down, then another and another, with each new word attempting to add something new to the ongoing thought processes, thereby creating a chain of ideas ending with a new product/service idea emerging.

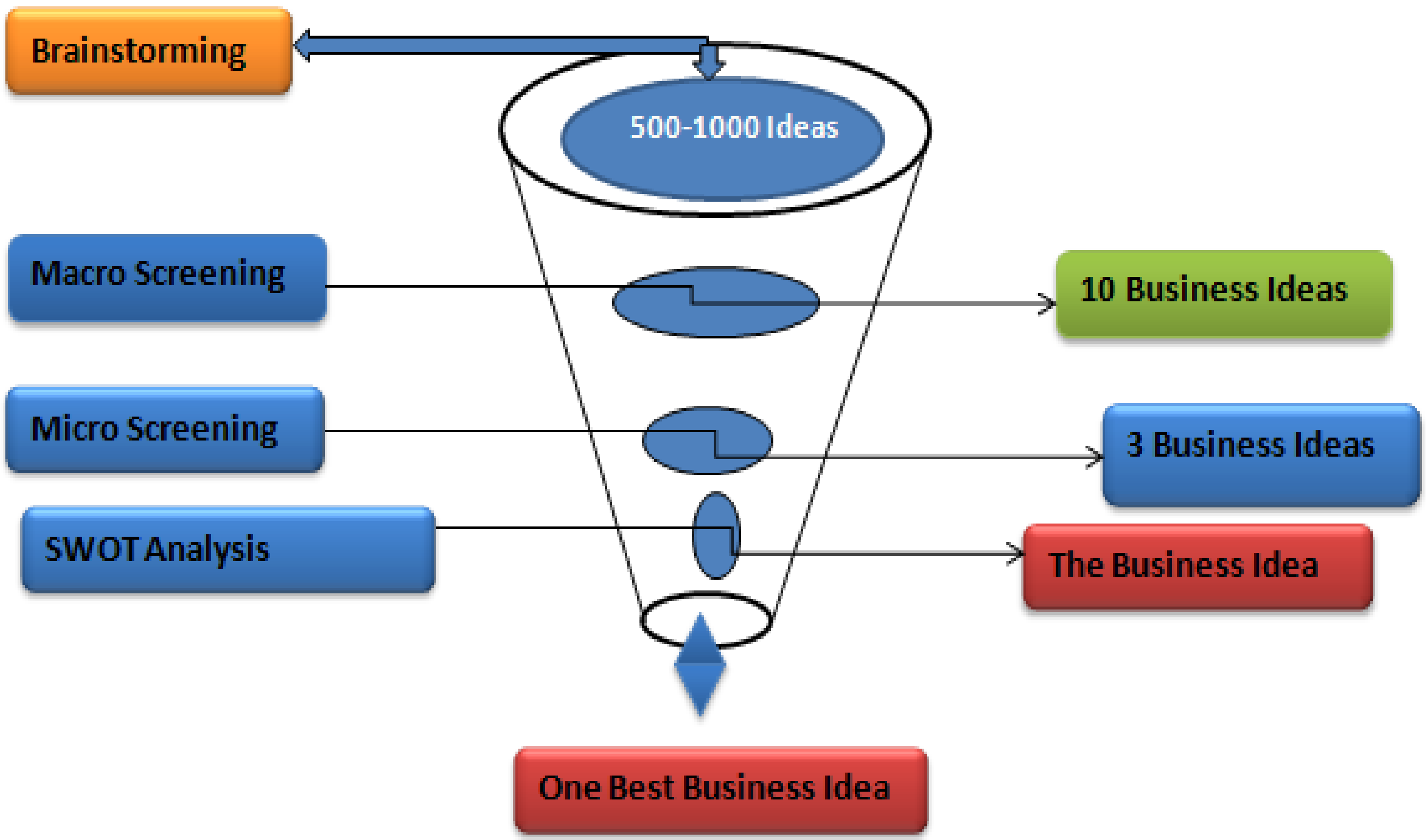
j) Forced relationships - is the process of forcing relationships among some product combinations.

- is a technique that asks questions about objects or ideas in an effort to develop a new idea.

k) Attribute listing - is an idea-finding technique that has the entrepreneur list the attributes of an item or problem and then look at each from a variety of viewpoints.

- originally unrelated objects can be brought together to form a new combination and possibly a new product/service that better satisfies a need.

Funnel Model



Screening Business Ideas

1. Macro Screening Criteria (first stage screening)

- Marketability,
- Availability of raw material,
- Ease of implementation,
- Financial ability of the entrepreneur, etc.

2. Micro Screening Criteria (Second stage screening)

i. **Marketing Viability-** product, target market, size of target market, demand and supply situation, competition and marketing practices

ii. **Technical Viability-** technology, source of technology, raw materials, infrastructure and facilities, location , skills and cost

iii. **Organizational and Management Viability-** Abilities, competencies, skills, values and motivations of management/key officers as per the requirements of project and appropriate legal personality and organization.

iv. **Financial Viability-** project cost, sources of financing and profitability

v. **Ecological viability-** the project should not affect the environment

3. Scoring the suitability of business idea

- This approach is most appropriate when deciding on starting a business.
- When there are more than one possible business ideas and one needs to decide which one to follow.
- After we score the ideas we sum the total and select the idea with the highest score.

Collecting information on your business idea gives you an opportunity to promote your business idea and to present yourself as a potential entrepreneur. In this process, there are four important groups that you should talk to:

-potential customers

-competitors, suppliers, and entities with financial resources

-financial institutions

-key informants and opinion leaders

2.5 Concept of Business Plan

- Planning is the first and the most crucial step for starting a business. A carefully charted and meticulously designed business plan can convert a simple idea/innovation into a successful business venture.
- A business plan is a road map for starting and running a business
- A business plan is the blueprint of the step-by-step procedure that would be followed to convert a business idea into a successful business venture.

- A well-crafted business plan:
  - ➢identifies opportunities,
  - ➢scans the external and internal environment to assess the feasibility of business and
  - ➢allocates resources in the best possible way, which finally leads to the success of the plan.
- It provides information to all concerned people like the venture capitalist and other financial institutions, the investors, the employees.
- It provides information about the various functional requirements (marketing, finance, operations and human resources) for running a business.

The objectives of a business plan are to:

- Give directions to the vision formulated by entrepreneur.
- Objectively evaluate the prospects of business.
- Monitor the progress after implementing the plan.
- Persuade others to join the business.
- Seek loans from financial institutions.
- Visualize the concept in terms of market availability, organizational, operational and financial feasibility.

- Guide the entrepreneur in the actual implementation of the plan.
- Identify the strengths and weakness of the plan.
- Identify challenges in terms of opportunities and threats
- Clarify ideas and identify gaps in management information about their business, competitors and the market.
- Identify the resources that would be required to implement the plan.
- Document ownership arrangements, future prospects and projected growths of the business venture.

2.6 Developing a Business Plan

2.6.1 Business Planning Process

- A plan, which looks very feasible at the first instance, might actually not be when the details are drawn.
- Hence documenting the business plan is one of the early steps that an entrepreneur should take.
- As discussed above, the successful entrepreneur lays down a step-by-step plan that she/he follows in starting a new business.

- The various steps involved in business planning process are discussed here below:

1. Preliminary Investigation

Before preparing the plan entrepreneur should:

- ❖Review available business plans (if any).
- ❖Draw key business assumptions on which the plans will be based (e.g. inflation, exchange rates, market growth, competitive pressures, etc.).
- ❖Scan the external environment and internal environment to assess the strengths, weakness, opportunities and threats.
- ❖Seek professional advice from a friend/relative or a person who is already into similar business (if any).

2. Opportunity Identification and Idea Generation

- Entrepreneurship is not just limited to innovation (generation of an entirely new concept, product or service, but it also encompasses incremental value addition to the concept/product/ services offered to the consumer, shareholder and employee).
- Opportunity identification and business idea generation is the first stage of business planning process.
- It involves generation of new concepts, ideas, products or services to satisfy demand.

3.Environmental Scanning

- Once a promising idea emerges through idea generation phase the next step is environmental scanning, which is carried out to analyze the prospective strengths, weakness, opportunities and threats of the business enterprise.

4. Feasibility Analysis

- Feasibility study is done to find whether the proposed project (considering the above environmental scanning) would be feasible or not.
- It is important to demarcate environmental scanning and feasibility study at this point.
- Environmental scanning is carried out to assess the external and internal environment of the geographical area/areas where, entrepreneur intends to set up his business enterprise,
- whereas feasibility study is carried out to assess the feasibility of the project itself in a particular environment in greater detail.

5. Report Preparation

- After environmental scanning and feasibility analysis, a business plan report is prepared.
- It is a written document that describes step-by- step, the strategies involved in starting and running a business.

2.6.2 Essential Components of Business Plan

1. Cover Sheet:

- Cover sheet is like the cover page of the book.
- It mentions the name of the project, address of the headquarters (if any) and name and address of the promoters.

2. Executive Summary:

- Executive summary is the first impression about the business proposal.
- As the saying goes, the first impression is the last impression.
- A careful presentation of information should be done to attract the attention of the evaluators.

- It should be in brief (not more than two or three pages) yet it should have all the factual details about the project that can improve its marketability.
- It should briefly describe the company; mention some financial figures and some salient features of the project.
- Generating interest in the minds of the readers is the prime motive of the executive summary.

3. The Business:

- This will give details about the business concept.
- It will discuss the objective of the business, a brief history about the past performance of the company (if it is an old company), what would be the form of ownership (whether it would be a single proprietor, partnership, cooperative society or a company under company law).
- It would also label the address of the proposed headquarters.

4. Funding Requirement:

- A careful, well-planned funding requirement should be documented.
- It is also necessary to project how these requirements would be fulfilled.
- Debt equity ratio should be prepared

5. The Product or Services:

- A brief description of product/services is given in this subsection.
- It includes the key features of the product, the product range that would be provided to the customers and
- the advantages that the product holds over and above the similar products/ substitute products available in the market.
- It also gives details about the patents, trademarks, copyrights, franchises, and licensing agreements.

6. The Plan:

- Now the functional plans for marketing, finance, human resources and operations are to be drawn.

I. **Marketing Plan:** Marketing mix strategies are to be drawn, based on the market research.

II. **Operational Plan:** The operational plan would give information about

- Plant location: why was a particular location chosen?
- Plan for material requirements, inventory management and quality control are also drawn for identifying further costs and intricacies of the business.
- Finally, the budget for operational plan is also drawn.

III. Organizational Plan:

- The organizational plan indicates the pattern of flow of responsibilities and duties amongst people in the organization,
- it provides details about the manpower plan that would be required to put life into the business and
- it would also enlist the details about the laws that would be governed in managing the employees of the organization.
- In the end the organizational plan is also budgeted.

IV. Financial Plan:

- The financial plan is usually drawn for two to five years for an existing company. For a new organization the following projections are drawn:
  a) Projected Sales
  b) Projected Income and Expenditure Statement
  c) Projected Break Even Point
  d) Projected Profit and Loss Statement
  e) Projected Balance Sheet
  f) Projected Cash Flows
  g) Projected Ratios

V. Critical Risks:

- The investors are interested in knowing the tentative risks to evaluate the viability of the business and to measure the risks involved in the business.
- This can further give confidence to the investors as they can calculate the risks involved in the business from their perspectives as well.

VI. Exit Strategy:

- The exit strategies would provide details about how the organization would be dissolved, what would be the share of each stakeholder in case of winding-up of the organization.

VII. Appendix:

- The appendix can provide information about the Curriculum Vitae of the owners, Ownership Agreement and the like.